



Republic of the Philippines
House of Representatives
Quezon City, Metro Manila

Twentieth Congress
First Regular Session

HOUSE BILL NO. 3908



Introduced by Representative Lordan G. Suan

AN ACT
PROTECTING EMPLOYEES FROM TERMINATION OR LAYOFF DUE TO
AUTOMATION BY ARTIFICIAL INTELLIGENCE, AMENDING FOR THE PURPOSE
PRESIDENTIAL DECREE NO. 442, AS AMENDED AND RENUMBERED,
OTHERWISE KNOWN AS THE "LABOR CODE OF THE PHILIPPINES"

EXPLANATORY NOTE

This bill seeks to protect employees from termination or layoff due to automation by artificial intelligence, amending for the purpose Presidential Decree No. 442, as amended and renumbered, otherwise known as the "Labor Code of the Philippines."

In 2023, major technology companies in the United States, including Google and Microsoft, laid off approximately 191,000 employees. These layoffs were largely attributed to the increasing adoption of artificial intelligence (AI) in their operations. According to business tracker Crunch base, these trends will likely persist as the tech industry explores further AI applications in their operations, potentially affecting Filipino employees in the telecommunications sector.

As AI technology increasingly permeates various sectors, it has the potential to revolutionize the workforce landscape. While AI can enhance productivity and reduce business costs, it also poses the risk of making certain jobs obsolete. This proposed legislation seeks to strike a balance between

harnessing the benefits of AI and mitigating its negative impacts on Filipino employees.

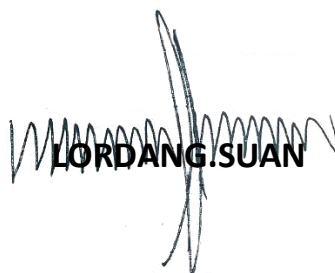
The bill draws attention to commendable practices within the telecommunications sector. For instance, companies like Globe Telecom Inc. and Converge ICT Solutions Inc. have implemented strategies to avoid layoffs. These strategies include reassigning customer service agents to other roles or departments, providing retraining programs to equip employees with AI-related skills, and fostering innovation and adaptability to meet new demands brought about by AI. Furthermore, PLDT Inc., the country's largest telecommunications employer, champions the responsible use of AI, advocating a balance between leveraging AI's benefits and maintaining corporate values and ethics.

The bill introduces provisions to protect employees affected by AI-related automation. These include fair compensation in the event of termination or layoffs, opportunities for retraining for different organizational roles, and the requirement for advance notice and consultation before any job terminations. These provisions are designed to ensure the smooth transition of employees in the face of AI-driven automation.

The proposed amendments are not just a set of rules, but a call to action for all of us to make the integration of AI in the Philippines a collective endeavor and reaffirm the significance of Filipino employees' well-being. This bill invites the legislative body, labor organizations, and stakeholders in the telecommunications industry to join hands and foster a shared commitment to the welfare of the Filipino workforce.

This bill would mark a significant step towards a future where technological advancement and the preservation of labor rights advance hand in hand, guaranteeing that no Filipino employee is overlooked in the age of automation. This bill holds the promise of not only safeguarding jobs but also fostering more resilient and adaptable workforce, ready to embrace the opportunities presented by AI.

In view of the foregoing, the immediate approval of this bill is earnestly sought.


LORDANG.SUAN



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Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

1 **SECTION 1.** A new article denominated as Article 298-A is inserted after Article
2 298 of Presidential Decree (PD) No. 442, as amended and renumbered, to read
3 as follows:

4 **“ARTICLE 298-A. AUTOMATION BY ARTIFICIAL INTELLIGENCE.—THE**
5 **EMPLOYER MAY, LIKEWISE, TERMINATE OR LAY-OFF THE**
6 **EMPLOYMENT OF ANY EMPLOYEE DUE TO THE INSTALLATION OR**
7 **IMPLEMENTATION OF ARTIFICIAL INTELLIGENCE (AI) TECHNOLOGIES OR**
8 **SYSTEMS, RENDERING THE EMPLOYEE’S POSITION REDUNDANT, AND**
9 **AFTER COMPLYING WITH THE FOLLOWING STANDARDS:**

10
11 **(A) THERE MUST BE A *BONAFIDE* INTRODUCTION OR**
12 **IMPLEMENTATION OF AI TECHNOLOGIES OR SYSTEMS;**

1 (B) THE INTRODUCTION OR IMPLEMENTATION MUST BE
2 UNDERTAKEN IN GOOD FAITH;

3 (C) THE PURPOSE FOR SUCH INTRODUCTION OR
4 IMPLEMENTATION MUST BE VALID SUCH AS TO SAVE ON COST,
5 ENHANCE EFFICIENCY AND OTHER JUSTIFIABLE ECONOMIC
6 REASONS;

7 (D) THERE IS NO OTHER OPTION AVAILABLE TO THE EMPLOYER
8 THAN THE INTRODUCTION OR IMPLEMENTATION OF AI
9 TECHNOLOGIES OR SYSTEMS AND THE CONSEQUENT
10 TERMINATION OF EMPLOYMENT OF THOSE
11 AFFECTED THEREBY; AND

12 (E) THERE MUST BE FAIR AND REASONABLE CRITERIA IN
13 SELECTING EMPLOYEES TO BE TERMINATED.

14 THE EMPLOYEE AFFECTED SHALL BE ENTITLED TO
15 SEPARATION PAY EQUIVALENT TO AT LEAST TWO (2) MONTHS
16 PAY OR TO ATLEAST TWO (2) MONTHS PAY FOR EVERY YEAR OF
17 SERVICE, WHICHEVER IS HIGHER. A FRACTION OF AT LEAST SIX
18 (6) MONTHS SHALL BE CONSIDERED ONE (1) WHOLE YEAR. THIS
19 IS WITHOUT PREJUDICE TO ANY HIGHER BENEFITS THAT MAYBE
20 PROVIDED BY ANY EXISTING LAW, COMPANY POLICY, COLLECTIVE
21 BARGAINING AGREEMENT, OR ANY OTHER APPLICABLE RULE OR
22 REGULATION.”

23 “FOR PURPOSES OF THIS ACT, THE TERM *ARTIFICIAL*
24 *INTELLIGENCE* REFERS TO TECHNOLOGIES OR SYSTEMS THAT
25 ENABLE COMPUTERS AND MACHINES TO EMULATE HUMAN
26 INTELLIGENCE AND PROBLEM – SOLVING CAPABILITIES.”

27 **SEC. 2.** A new article denominated as Article 298 – B is inserted after the new
28 Article 298-A of the same Presidential Decree to read as follows:

29 “**ARTICLE 298-B. RESKILLING AND TRANSITION PROGRAM.** – THE
30 EMPLOYERS, AFTER INSTALLING OR IMPLEMENTING AI
31 TECHNOLOGY OR SYSTEMS THAT MAY RESULT IN TERMINATION
32 OR LAY OFF OF EMPLOYEES, SHALL:

33 A. PROVIDE OR FACILITATE RESKILLING PROGRAMS TO

1 **HELP EMPLOYEES TRANSITION TO NEW ROLES WITHIN THE**
2 **FIELD;**

3 **B. OFFER ALTERNATIVE EMPLOYMENT OPPORTUNITIES**
4 **WITHIN THE ORGANIZATION, WHERE POSSIBLE; OR**

5 **C. DEVELOP AND IMPLEMENT A TRANSITION PROGRAM**
6 **FOR AFFECTED EMPLOYEES, IN COORDINATION WITH THE**
7 **DEPARTMENT OF LABOR AND EMPLOYMENT (DOLE)."**

8 **SEC. 3.** A new article denominated as Article 298 –C is inserted after the new
9 Article 298-B of the same Presidential Decree to read as follows:

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11 **"ARTICLE 298-C. NOTIFICATION AND CONSULTATION.–**
12 **EMPLOYERS SHALL NOTIFY THE DOLE AND THE EMPLOYEES'**
13 **REPRESENTATIVES AT LEAST SIX (6) MONTHS IN ADVANCE OF**
14 **ANY INTENDED TERMINATION OR LAYOFF DUE TO AI**
15 **AUTOMATION, AND CONSULT WITH THE EMPLOYEES OR THEIR**
16 **REPRESENTATIVES TO EXPLORE ALL POSSIBLE MEASURES TO**
17 **AVOID OR MINIMIZE THE TERMINATIONS OR LAYOFFS."**

18 **SEC. 4.** This Act shall take effect fifteen (15) days after its publication in the
19 *Official Gazette* or in a newspaper of general circulation.

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22 Approved,